

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-17

BAKERLY, LLC

COMPLAINANT,

v.

SEAFRIGO USA INC.,

RESPONDENT.

RESPONDENT SEAFRIGO USA INC.'S REPLY BRIEF

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Respondent Seafrigo USA Inc. (“Respondent” or “Seafrigo”) hereby submits its Reply Brief in response to the Opening Brief of Bakerly, LLC (“Bakerly”).

I. INTRODUCTION

Bakerly asserts two inconsistent justifications for its refusal to pay detention and demurrage charges (and its attempt to claw back previously paid charges) invoiced by Seafrigo. On the one hand, Bakerly asserts that it never had a legal obligation to pay such charges. On the other hand, Bakerly asserts there is insufficient information included in some of Seafrigo’s invoices to justify payment. As discussed in detail herein, the Bakerly excuses for nonpayment of detention and demurrage charges cannot withstand scrutiny.¹ Bakerly therefore has failed to meet its burden of establishing that Seafrigo has violated the Shipping Act and failed to establish that the charges assessed are not due.

II. SUMMARY OF ARGUMENT

A. Legal Argument

Seafrigo provided transportation services as an NVOCC on behalf of Bakerly from 2015 through early 2022. During that time period, and beginning in 2018, Seafrigo routinely assessed, and Bakery routinely paid (or promised to pay) demurrage and detention charges assessed by the underlying steamship lines (VOCCs) or marine terminal operators (MTOs) on Bakerly cargo. Indeed, during that time period Seafrigo issued over 1,000 invoices to Bakerly which included detention/per diem and demurrage charges.² Bakerly never disputed its contractual obligation to

¹ Seafrigo acknowledges that Bakerly should have no liability for detention and demurrage charges attributable to any negligent conduct of Seafrigo. However, the charges being sought do not fall within that category and Bakerly has no valid justification for its failure to pay.

² Detention charges for the failure to return empty containers or charges assessed by third parties for storing containers are sometimes referred to as per diem.

pay detention and demurrage charges until the amount of detention and demurrage charges increased significantly as a result of problems with Bakerly's own system of warehouses and the supply chain disruptions that plagued the ocean transportation industry in 2020 through early 2022.

However, Bakerly now asserts that it never assumed the obligation to pay detention and demurrage charges and that such charges are the sole responsibility of Seafrigo. Bakerly's belated denial of its responsibility for demurrage and detention charges is baseless and flatly contrary to: 1) the express terms Seafrigo's tariff; 2) Seafrigo's bill of lading terms and conditions; 3) the parties' carefully crafted Negotiated Rate Agreements (NRAs); 4) the parties' longstanding billing and payment practices; and 5) the well-established practice in the industry, all of which reflect that absent negligence on the part of Seafrigo, Bakerly is liable for detention and demurrage charges.

Seafrigo's Tariff Rules expressly provide that detention and demurrage charges that are assessed on Bakerly's cargo (and containers holding such cargo) are the responsibility of Bakerly as the Merchant under Seafrigo's bill of lading terms and conditions. *See, e.g.*, Tariff Rules 7-17, 7-22, 7-26, 7-27, 15-1, 15-2, 15-3, 17-1, 17.2, and 17.2.1. Those Tariff Rules provide in relevant part the charges that will be assessed against the Merchant if goods are not picked up or returned within allotted free time. The Tariff Rules further provide that if a VOCC imposes detention (or per diem) charges when empty containers are not returned within a specified period of time (free time) the Merchant shall be liable to Seafrigo for any detention charges imposed on Seafrigo by VOCCs as a result of the Merchant's failure to return containers within applicable free time. Tariff Rule 15.3 also provides that if a VOCC imposes demurrage charges for loaded containers not removed from the marine terminal within the free time, the Merchant shall be liable to Seafrigo for any such demurrage charges.

Tariff Rule 17.1 further makes explicit that by tendering shipments to Seafrigo for transportation, Bakerly appoints Seafrigo as its agent for acquiring containers and chassis for such transportation and agrees to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation. These charges shall be for the account of Bakerly as the Merchant except to the extent solely attributable to actions or omissions of Seafrigo. Rule 17.2.1 provides that any surcharges, or other similar add-on charges assessed by the VOCC carrying Bakerly's cargo will be paid on Bakerly's behalf by Seafrigo and passed through to Bakerly without markup.

Bakerly belatedly attempts to support its contention that Seafrigo somehow assumed the sole obligation to pay detention and demurrage charges associated with Bakerly's goods in Tariff Rule 17.2 which provides that in the case of door moves, the Merchant is not liable for the pickup, transport, and delivery of the containers. The obvious meaning and intent of such language (which does not reference detention or demurrage) is that if Seafrigo's rates include the costs of a door move, it will not separately bill (or double bill) Bakerly for delivering the goods to the door. Rule 17.2 serves as no justification for Bakerly's refusal to pay detention and demurrage charges.

The Seafrigo bill of lading terms and conditions confirm and reinforce Bakerly's obligation to pay detention and demurrage (except to the extent solely attributable to actions or omissions of Seafrigo). Those terms and conditions expressly provide that: 1) Bakerly undertakes to return containers within the time period provided for in Seafrigo's applicable tariff and Bakerly shall pay Seafrigo for the applicable demurrage or detention charges; 2) Bakerly appoints Seafrigo as its agent for acquiring containers and chassis for such transportation and agreed to free time, as well as detention and demurrage, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which are for the account of Bakerly except to the extent

solely attributable to actions or omissions of Seafrigo; 3) Seafrigo is entitled to full compensation if hindrances prevent the complete performance of the contract; 4) Seafrigo is not responsible for loss resulting from Bakerly's own actions (such as, for example, not having sufficient warehouse space to accept or unload containers or a failure to have sufficient personnel to accept and unload such containers); 5) Seafrigo is not liable for events which it could not avoid and the consequences of which it could not prevent by the exercise of due diligence; 6) Bakerly is liable for all charges levied on the goods; 7) Bakerly indemnifies Seafrigo against all claims, costs and other amounts which may be incurred or imposed upon Seafrigo by reason of Bakerly's failure to comply with the terms of the bill of lading; or 8) numerous Tariff Rules which obligate Bakerly to pay yard storage, congestion fees and related charges.

Bakerly's attempt to rely upon Rules Tariff 15.3 to support its argument that it can disregard its obligations to take delivery of containers and to timely allow for their return with impunity is equally misplaced. Rule 15.3 provides that the demurrage provision cited therein does not apply if failure to remove the container from the terminal is the responsibility of Seafrigo. As set forth herein, however, the charges at issue arose due to Bakerly's failure to remove the containers from the terminal which was not Seafrigo's responsibility.³ Instead, the charges arose due to Bakerly's lack of warehouse space or personnel to accept and unload containers or nationwide port congestion and/or port closures and related events which were in no way Seafrigo's responsibility.

Perhaps most telling in regard to Bakerly's assertion that it never assumed the obligation to pay detention and demurrage charges is that the parties entered into NVOCC Negotiated Rate

³ To the extent that charges did result from Seafrigo's shortcomings, Seafrigo is not seeking to be reimbursed for amounts it had to pay to third parties. Such charges total \$159,849.08.

Agreements (NRAs) for the transportation services at issue, each of which was individually negotiated between the parties. Each NRA expressly provides that the “Rate Proposal does not include demurrage and detention charges for which the shipper and/or consignee may be liable and port and port terminal handling charges.” (Those charges are the charges in dispute here, although inexplicably Bakerly failed to pay even freight charges which were never in dispute until Seafrigo had to threaten a separate legal action during the course of this litigation.)⁴ The NRAs also include a Standard Accessorial Tariff Provision which specifies that per diem, detention and demurrage charges are payable at cost per terminal or carrier. These are the very charges which Bakerly now contends are inapplicable. If Bakerly legitimately believed it did not have to pay such charges, it would not have agreed to do so as specified in each of the NRAs.

It speaks volumes that while Bakerly now asserts that it never had an obligation to pay detention and demurrage charges, it nowhere addresses in its lengthy Opening Brief, Proposed Statements of Facts, or in its voluminous Appendix that it expressly agreed to do so in the carefully negotiated NRAs. Similarly, Bakerly oddly fails to address the express terms and conditions of Seafrigo’s bills of lading despite the fact that bills of lading are universally recognized as the contracts of carriage governing ocean shipments.⁵

In addition to being contrary to the language of the NRAs and the bills of lading terms and conditions, Bakerly’s attempt to shirk its responsibility for demurrage and detention charges is contrary to the parties’ long-established course of conduct as well as the course of dealing in the

⁴ As reflected in Bakerly’s Opening Brief, Bakerly paid \$684,330.06 in freight charges that were long overdue during the course of this litigation.

⁵ Bakerly’s recognition in its Opening Brief that it owes Seafrigo for detention and detention charges caused by its own neglect (including the defects in its warehousing system) is also internally inconsistent with its argument that Tariff Rule 17.2 places the obligation on Seafrigo to pay all charges arising from door moves. If that argument was correct, Bakerly would have no obligation to pay detention and demurrage charges whatever the cause.

maritime industry at large. Although significant amounts of demurrage did not begin to accrue until late in 2020, Bakerly assumed such obligations when Seafrigo first started providing transportation services for Bakerly in 2015. Throughout their contractual relationship, and particularly when Seafrigo began providing door services in 2018, it was the established practice between the parties that Seafrigo would advance funds to third parties such as MTOs and VOCCs for detention and demurrage charges, and Bakerly would then reimburse Seafrigo for those charges. Seafrigo did so as an accommodation to Bakerly in order to allow for the prompt release of Bakerly's cargo and to prevent such charges from continuing to accrue. Regardless of whether such charges are paid directly by the shipper or consignee or advanced by the NVOCC, the shipper or consignee bears the ultimate responsibility for paying detention and demurrage charges. It is telling that although Seafrigo billed Bakerly for such charges almost a thousand times over an extended period – and Bakerly either paid such charges or repeatedly promised to do so – Bakerly never asserted that it had no obligation to do so until after Seafrigo had advanced millions of dollars on its behalf.

Quite simply, the shipper assumes the contractual obligation to pay the freight and related charges assessed against its goods. This was not only the established course of conduct between Seafrigo and Bakerly, it has been the established course of conduct between NVOCCs, shippers and consignees for decades. NVOCCs advance funds because requiring shippers and consignees to pay such charges in advance would unnecessarily grind transportation to a halt with containers sitting at ports and terminals for extended periods of time.⁶

⁶ Indeed, as reflected in Seafrigo's Supplemental Statement of Proposed Facts, when Seafrigo asserted in late 2021 that it would no longer advance funds to pay demurrage and detention on behalf of Bakerly unless Bakerly paid outstanding invoices, Bakerly pleaded with Seafrigo not to stop doing so on its behalf and promised to come current on its payment obligations.

Seafrigo's Tariff Rules, bill of lading terms and conditions, the carefully negotiated NRAs, and the course of conduct between the parties and in the industry at large all flatly contravene Bakerly's argument that the detention and demurrage charges at issue are the responsibility of Seafrigo rather than Bakerly. Consequently, Bakerly's contention that Seafrigo assumed the responsibility to pay (or to dispute) charges assessed by MTOs or VOCCs during periods when ports or terminals were closed due to storms or when containers were unavailable for pickup due to port congestion or government holds imposed on Bakerly goods has no legal basis.

As set forth above, Seafrigo's Tariffs and bill of lading terms and conditions provide that Bakerly is liable for charges levied on the goods and that Seafrigo is not liable for events which it did not cause or which it could not have prevented by the exercise of due diligence. In seeming recognition of that fact, during the course of the litigation on December 5, 2022, Bakerly asserted that it was not disputing Seafrigo's right to be reimbursed for amounts Seafrigo expended as a result of port closures due to snowstorms in December of 2020 and January of 2021. Now, however, in an abrupt reversal of course, Bakerly asserts in its Opening Brief that Seafrigo should never have paid the charges assessed by the MTOs and VOCCs and thus Bakerly will not reimburse Seafrigo for amounts paid.

Bakerly's position is both legally unsupported and shortsighted. *First*, as reflected above, the charges levied run to Bakerly not Seafrigo.⁷ *Second*, while the undisputed facts (and contemporaneous documents) establish that Seafrigo sought to have some detention and demurrage charges waived by VOCCs, the VOCCs flatly refused to waive such charges because of the leverage they had in an extremely tight market. Seafrigo, however, was under no obligation

⁷ As the party ultimately responsible for the assessed charges, Bakerly was (and remains) free to pursue claims against VOCCs and MTOs that it believes were improperly assessed.

to bring legal actions against VOCCs or MTOs if they refused to waive or discount demurrage and detention charges. Nowhere in the Seafrigo Tariff, its bill of lading terms and conditions or in the parties' course of conduct was such an obligation imposed. Moreover, to Seafrigo's knowledge, the Commission has never placed such an onerous obligation on a NVOCC absent any contractual obligation to do so. *Third*, if Seafrigo had refused to pay the amounts invoiced by the MTOs and VOCCs, the containers at issue would not have been released. Thus, additional charges would have been assessed and Bakerly never would have received the goods at issue.⁸

III. FACTUAL DISPUTES REGARDING INVOICES

A. Bakerly's Warehousing Deficiencies

There are over \$2 million in charges in dispute in this proceeding. Of that amount, \$1,532,512.48 arise from Bakerly's warehousing deficiencies and are thus its own fault. Specifically, the contemporaneous documentation reflects in extensive detail that Bakerly's warehouses were unable to accept fully-loaded containers sitting at terminals because they were already full or too short staffed to handle them, thus causing expensive demurrage to accrue. In addition, Bakerly warehouses often were unable to empty and make available containers that had been delivered to them, resulting in the accrual of huge detention charges. This inability was the result not only of overloaded warehouses but also of gross staffing shortages at the warehouses (due to COVID among other reasons).

⁸ Indeed, even under OSRA 2022, which was not in effect at the time, NVOCCs are insulated from liability when they simply pass on charges assessed by VOCCs or MTOs. (OSRA 2022's safe harbor provisions confirm that NVOCCs such as Seafrigo are not liable for detention and demurrage assessed by third parties for which the NVOCC is not responsible. 46 U.S.C. § 41104(e).) There certainly is nothing under existing or prior legislation that would require Seafrigo to bring legal actions against third parties on behalf of Bakerly.

In May of 2021, Bakerly lamented to its warehouser that it could not list all of the delays that the warehouser had caused: “[W]hat a mess!... [W]e cannot drop the ball and impact so much of our customers during our peak season.”

As a result of those deficiencies, Bakerly at one point abruptly instructed Seafrigo to stop delivering containers to one of its major warehouses because Bakerly terminated its relationship with the warehouser. It did this while multiple containers were either on the way to the warehouse or scheduled for delivery there. This termination was precipitated by the warehouse’s inability to timely accept deliveries and return empty containers. In so doing, Bakerly itself acknowledged that its abrupt decision was causing the already significant amounts of detention and demurrage to skyrocket.

One month after that abrupt notification, Bakerly (again without advance notice) sent an e-mail stating “we regret to inform you that we must limit your inbounds due to complications and internal decisions.” In so doing, Bakerly acknowledged that its decision would result in additional charges. *“We are aware of the additional costs of demurrage, storage, or detention that this decision implies but we do not have a choice.”*

The lack of warehouse personnel to handle incoming containers and to be able to unload them timely led to truckers having to spend countless hours (and even overnights)⁹ to deliver and return containers. The situation became so bad that truckers began refusing to deliver containers to Bakerly warehouses. To avoid continuing to lose drivers unwilling to deliver Bakerly cargo (in the midst of a nationwide trucker shortage due to COVID and the difficulties associated with port and terminal congestion), Bakerly and Seafrigo implemented a “drop and pick” program whereby

⁹ Overnight stays waiting for containers to be emptied so the containers can be returned (and thus avoid detention charges) are referred to as layovers.

containers would be dropped off and then later picked up in a separate trip so as to avoid truckers losing whole days waiting for containers to be unloaded.¹⁰ The warehouser was supposed to unload the empties and schedule their return pickup within 24 hours. Unfortunately, however, due to the gross staffing shortages at the warehouse, the program was a total disaster and had to be abandoned shortly thereafter because warehouses let the containers sit for extended periods of time still loaded (accumulating detention charges) at the facilities.

In a telling error, Bakerly cites an instance where over 80 trucker employees were out with COVID as an example of Seafrigo having inadequate staffing and failing to perform. In fact, however, the over 80 employees who failed to come to work were Bakerly warehouse employees, not Seafrigo employees or truckers.¹¹ Thus, Bakerly inadvertently highlights its own warehousing deficiencies and its own responsibility for the charges at issue.

The shortage of available warehouse space also caused Bakerly to provide last-minute or conflicting instructions regarding when or where containers could be delivered. This again caused significant additional detention to accrue.

While acknowledging its responsibility to pay detention and demurrage charges resulting from the problems with its warehouses, Bakerly argues that only \$198,551.87 of the charges at issue were caused by its warehousing shortages and defects. This figure grossly underestimates the detention and demurrage charges caused by the warehousing shortages and deficiencies. It is noteworthy that Bakerly fails to provide any evidence or explanation as to how it calculated this inaccurately low figure.

¹⁰ This program was tried even though even under the best of circumstances it resulted in additional trucker costs due to extra trips being required. It also further strained the already limited trucker pool.

¹¹ It is noteworthy that this is the sole “evidence” offered by Bakerly of Seafrigo having staff shortages.

B. So Called “Duplicative Charges”

Bakerly asserts that what it refers to as “duplicative charges” were assessed by Seafrigo. As has been explained to Bakerly repeatedly, however, the charges are not duplicative. Instead, they reflect additional demurrage or detention charges that accrued and were invoiced after an initial invoice had been issued. As way of example, Seafrigo issued an invoice for demurrage on October 8, 2021 in the amount of \$1,389 related to Container# OOLU6253024/ Bakerly PO# 1269. This invoice was issued based on the expectation that the container would be picked up on that date. Due to issues with the Bakerly warehouse, however, the container could not be picked up on that date. As a result, Seafrigo had to generate another invoice USI210001169 on October 13, 2021 in the amount of \$4,800.00 when Seafrigo was finally able to pick up the container on that date.

Thus, the so called “duplicative invoices” are the result of the warehouse failing to schedule the delivery as expected, causing additional demurrage to accrue. Accordingly, the mere fact that more than one invoice for detention or demurrage was issued for the same container does not in any way reflect that the charges were duplicative or incorrect.

Bakerly’s suggestion that this somehow evidences malfeasance because the issuance of more than one invoice on a container did not happen prior to 2021 is baseless. Instead, it merely reflects that prior to that time Bakerly warehouses were better capable of accepting full containers and returning empty containers in a timely fashion so as to avoid the necessity of updated demurrage and detention invoices. Further, prior to that time, the nationwide congestion problems plaguing the entire ocean transportation industry were only beginning.¹²

¹² Seafrigo only issued invoices to Bakerly for detention and demurrage totaling \$33,106.98 in 2019 and until December of 2020 (all of which Bakerly paid).

IV. CHARGES CAUSED BY REASONS INDEPENDENT OF EITHER PARTY

A. Snowstorms, Port Congestion, Customs Holds, Chassis and Genset Shortages and Nationwide Shortages of Truckers

Some of the charges at issue were caused by reasons independent of either party. Included in this category are weather-related port or terminal shutdowns, port congestion, government holds (including Customs holds), instances where terminals lacked chassis or gensets¹³ for containers holding frozen goods, and a national shortage of truckers. As set forth above, Bakerly previously conceded that as with its own warehouse deficiencies, weather-related closures were not the responsibility of Seafrigo, and it would not be seeking to excuse its payment obligations in this regard. This recognition is consistent with Tariff Rules and bill of lading terms and conditions, which place the burden of detention and demurrage charges on Bakerly (absent Seafrigo negligence) and explicitly recognize Seafrigo is not liable for events which it could not avoid and the consequences of which it could not prevent by the exercise of due diligence. Weather-related events or instances where a terminal was shut down due to a fire at a nearby location clearly fall into that category. Similarly included in that category are detention and demurrage charges resulting from Customs holds on goods, or from terminals not having chassis for transporting containers or gensets to keep frozen food products from spoiling, all of which are events beyond Seafrigo's control.¹⁴

During the late 2020 through early 2022 time period port congestion was a widely recognized nationwide problem. This congestion led to erratic shipping line deliveries. Further,

¹³ A genset, in industry parlance, is a combination engine and electrical generator used, as in the instant matter, to refrigerate containers.

¹⁴ Gensets are issued by terminals to truckers picking up chassis for the transportation of containers holding frozen goods. During the nationwide port congestion of 2021 and 2022, terminals often lacked such gensets.

containers were frequently stacked at terminals in a disorganized or haphazard fashion which did not allow for their pickup. As a result, due to no fault of Seafrigo, containers sat at terminals accumulating demurrage charges until terminals allowed for their pickup.

Another unavoidable and unforeseen event beyond Seafrigo's control was a nationwide shortage of truckers which led in some instances to containers not being timely picked up or returned to ports or terminals. Gross mismanagement at Bakerly warehouses exacerbated the problem with truckers refusing to deliver there due to the extreme delays associated with scheduled deliveries to their facilities. Drivers already frustrated by the difficult environment plaguing the industry refused to tolerate entire days and nights waiting for containers to be unloaded.

B. Pass-Through Charges

Bakerly devotes much of its Opening Brief to arguing that Seafrigo failed to provide adequate backup documentation to support its invoices. The facts, however, reveal that invoices and backup documentation were timely provided to Bakerly. Seafrigo submits that this purported justification constitutes a ruse by Bakerly to avoid its contractual payment obligations (which it now argues never even existed). The disputed invoices issued to Bakerly by Seafrigo primarily reflect the amounts paid by Seafrigo to the terminals. The invoices at issue detailed the amounts owed and specified the basis for the charges. To the extent that some details regarding detention and demurrage charges were not provided it was because that information was not provided by third parties. For example, the vast amount of the detention and demurrage charges at issue were assessed by Maher Terminal. Maher Terminal, like other MTOs, does not issue invoices reflecting the basis for amounts charged but instead requires payment by credit card of what it submits are all amounts due to obtain release of containers. Virtually all of the charges in dispute were straight pass-throughs of charges assessed by third parties. The only (relatively minor) additional charges

that were imposed by Seafrigo were in late 2021 when Seafrigo's finances were being crippled by Bakerly's failure to reimburse it for millions of dollars Seafrigo had advanced on Bakerly's behalf.

Further, the fallacy of Bakerly's argument that it could not determine the basis for the charges being passed through is evident from Bakerly's own Opening Brief. There, it used the PayCargo receipts provided by Seafrigo, showing the container pick up dates, and publicly available information from terminal websites and the terminal and carriers' tariffs, to analyze the charges at issue. The failure to utilize publicly available information does not excuse Bakerly's failure to pay millions of dollars of invoices.

As part of its new demand for additional information Bakerly inexplicably accuses Seafrigo of violating the Ocean Shipping Reform Act of 2022 (OSRA 2022)¹⁵ despite knowing that OSRA 2022 was not enacted until June 16, 2022, long after the shipments at issue. Even if one were to (improperly) impose the more rigorous invoicing requirements set forth in OSRA 2022 here, however, Seafrigo still would not be liable for any improper assessment of detention and demurrage charges. OSRA 2022's safe harbor provisions confirm that NVOCCs such as Seafrigo are not liable for detention and demurrage assessed by third parties for which the NVOCC is not responsible. 46 U.S.C. § 41104(e). Applying that principle compels rejection of Bakerly's attempt to now assess such charges against Seafrigo.

C. Isolated Invoices Challenged by Bakerly

Bakerly cherry-picks a handful of invoices of the almost a thousand issued by Seafrigo and contends that they are not justified. While disingenuously characterizing these as "sample invoices," *i.e.*, representative of all of its unpaid invoices, it is readily apparent that Bakerly reviewed the almost a thousand invoices at issue and related backup documents and having

¹⁵ See, e.g., Opening Brief at page 7.

completed what it termed a “careful analysis,” identified self-serving examples of supposedly incorrect invoices. Bakerly’s argument is unavailing for a variety of reasons.

First, as a legal matter, Bakerly has the burden of proof in establishing that the invoices are false.¹⁶ Bakerly does not satisfy that standard by selectively highlighting a tiny number of supposed discrepancies, themselves for tiny amounts, and then inviting the Commission to assume that all the invoices are somehow defective.

Second, as set forth above, to the extent that Bakerly argues that the invoices are “duplicative” it reflects a fundamental misunderstanding (or mischaracterization) of the invoices and how terminals and VOCCs assess such charges.

Third, Bakerly’s identification of supposed errors in isolated invoices is largely inaccurate. In this regard, Bakerly asserts that Seafrigo was billed amounts different than what should have been charged by the third parties under their respective tariffs. The supposed discrepancies, which are in any event rounding errors in a case involving invoices for over \$2.9 million,¹⁷ do not address additional charges imposed by third parties, such as fees of 3.99% imposed by Maher Terminal on detention and demurrage charges paid by credit card. Thus, the small differences Bakerly points to between the amounts invoiced by Seafrigo and the amounts Bakerly asserts should have been assessed by the MTOs and or VOCCs are incorrect.

D. Amounts Owed

There is \$2,130,783.32 million in detention and demurrage charges currently unresolved between the parties. This number reflects that Seafrigo does not dispute that \$159,849.08 of the

¹⁶ As noted herein, the shipments at issue predated OSRA 2022. Thus, unlike under OSRA 2022, Bakerly has the burden of proof in establishing its allegations that the invoices are invalid.

¹⁷ Even if true, there would be no legitimate basis for Bakerly to refuse to pay millions of dollars owed because after careful analysis it identified isolated invoice errors totaling less than \$15,000.

invoices in dispute were a result of its own delays in scheduling the pickup or return of containers. Thus, Seafrigo is not seeking to collect the amount attributable to Seafrigo's own delays. Of the \$2,130,783.32 for which Bakerly is responsible, \$1,532,512.48 was caused Bakerly's own neglect. The remaining \$598,270.84 owed by Bakerly was caused by events beyond Seafrigo's control, consisting of snowstorms resulting in terminal closures (\$361,178.54), port congestion (\$472,672.71), government holds (\$68,745.59), lack of terminal chassis and gensets (\$1,901.40), and a nationwide shortage of truckers (\$177,574.50).

V. ARGUMENT

A. Legal Standards

1. Bakerly Bears the Burden of Proof in Disputing the Invoices in Question and in Establishing a Shipping Act Violation.

In a section 41102(c) case, the complainant has the burden of persuading the Commission that a practice is unjust or unreasonable. *Maier Terminals*, 2014 FMC LEXIS at *35 (citing *River Parishes Co. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 765 (FMC 1999)); *Exclusive Tug Arrangements in Port Canaveral, Fla.*, 29 S.R.R. 1199, 1222 (ALJ 2003);² *Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Mississippi River*, 29 S.R.R. 718, 719 (ALJ 2001).

While Section 10 of OSRA 2022 “shifts the burden of proof regarding the reasonableness of detention or demurrage charges from the invoiced party to the common carrier,” Docket No. 21-16, *Order Aff’g Denial of Joint Settlement Mot.*, at 8 (Dec. 15, 2022), OSRA 2022 is inapplicable to the shipments at issue, which predate its enactment on June 16, 2022. Accordingly,

Bakerly bears the burden of proof in establishing any alleged Shipping Act violations on the part of Seafrigo.¹⁸

C. Bakerly's Argument Ignores the Governing Contracts and the Parties' Course of Conduct

1. Bakerly's Argument Is Contrary to the Clear Meaning of Seafrigo's Rules Tariff and Bill of Lading Terms and Conditions

Bakerly's primary argument rests on misreading Seafrigo's Rules Tariff, which provides that if a VOCC imposes detention charges if empty containers are not returned within a specified period of time (free time) the Merchant shall be liable to the Carrier for any detention charges imposed.

Tariff Rule 17.1 states that by tendering shipments to Carrier for transportation, Bakerly appoints Seafrigo as its agent for acquiring containers and chassis for such transportation and agrees to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, *all of which shall be for the account of the Merchant except to the extent solely attributable to actions or omissions of Carrier*. SSoF at 5.

Additionally, the Tariff Rules at 15.3 provide that the *Merchant, i.e., Bakerly*, shall be responsible if a VOCC imposes demurrage charges when loaded containers are not removed from the marine terminal within a specified period of time (free time). SSoF at 5. While Rule 15.3 provides that the demurrage provision cited therein does not apply if failure to remove the container from the terminal is the responsibility of the Carrier, as set forth herein, the failure to

¹⁸ The record cited herein and more fully set forth in Seafrigo's Supplemental Statement of Fact perhaps explains Bakerly's premature Motion for Partial Judgment wherein it sought relief without having to address its abysmal warehousing system or deal with other inconvenient facts.

remove the containers from the terminal was not the responsibility of Seafrigo. *See* SSoF 22. Instead, the failure was either a direct result of Bakerly's lack of warehouse space or gross personnel shortages which prevented the delivery or due to nationwide port congestion and/or port closures which were in no way Seafrigo's responsibility.

Faced with the language of 15.3, Bakerly ignores its reference to Merchant's responsibility and argues instead that it can disregard its obligations to take delivery of containers so long as the containers are door delivery. This reading allows Bakerly to refuse to ever take delivery of goods and have Seafrigo assume the resulting financial burden. Such a reading produces an absurd result.

As noted above, Tariff Rule 17.1 states explicitly that Bakerly appoints Seafrigo as its agent for acquiring containers and chassis for such transportation and accepts that demurrage, detention, and storage charges shall be for its account, except to the extent solely attributable to Seafrigo's actions or omissions. SSoF at 5. Rule 17.2.1 provides that Seafrigo will advance payment on any surcharges or other similar add-on charges assessed by the VOCC and pass them through to Bakerly without markup. SSoF at 5. Yet despite those clear and consistent Tariff Rules explicitly related to detention, demurrage, and storage charges, Bakerly relies on an inconsistent reading of Rule 17.2, which does not mention such, and argues that door delivery transactions exempt it from responsibility. Rule 17.2 states as follows:

17.2 Merchants Risk and Expense

Except as otherwise specifically provided in this Tariff Rule, and Carrier's bill of lading terms and conditions, the following shall be at the Merchants risk and all expenses in connection therewith shall be for the Merchants account:

1. The pickup, transport, and delivery of the containers/goods moving between the port of loading or port of discharge on the one hand, and Merchant's facility on the other hand, except to the extent the goods are door cargo; and
2. The care and custody of equipment.

Although Bakerly contends that the "except...door cargo" phrase amounts to Seafrigo assuming responsibility for detention and demurrage charges on door moves (which notably are

not even referenced in Rule 17.2.1), such argument ignores the facial meaning of the rule: that in cases of door moves, the Merchant is not liable for the pickup, transport, and delivery of the containers. Rule 17.2, which conspicuously does not refer to detention, demurrage, or storage charges, in fact *does not relate* to detention, demurrage, or storage charges. Instead, such Rule protects the Merchant/Shipper from being charged again for pickup, transport, and delivery charges if the carrier's rates already include those costs in a bundled rate for a door move.

Tariff Rule 17.2.1 provides that Bakerly assumes all expenses in connection with the transportation service provided, including for the pickup, transport, and delivery of containers or goods moving between the port of loading and port of discharge on the one hand, and Merchant's facility on the other hand, "except to the extent that the goods are door cargo." Bakerly contends that this language excuses it from detention/per diem and demurrage charges (even when such charges are solely due its own neglect).¹⁹ That, however, is not what the Rule states. Instead, it merely makes the obvious and fair point that when a shipper or consignee has paid a carrier to pick up, transport and deliver containers, as is the case for a door move, the shipper does not again have

¹⁹ Inconsistently, however, Bakerly simultaneously concedes in its Opening Brief that it is responsible for detention and demurrage charges resulting from its defective warehousing system. As noted herein, no explanation is offered for this inconsistency. Apparently Bakerly acknowledges its payment obligation under those circumstances because a reading consistent with its stated interpretation of the Tariff Rule would produce an absurd result. It is of course a well-established axiom of contract interpretation that contracts should not be read so as to produce absurd results. *Keepseagle v. Perdue*, 856 F.3d 1039, 1047 (D.C. Cir. 2017) (rejecting interpretation of settlement agreement that would "produce an absurd result" (citing *United States v. Winstar Corp.*, 518 U.S. 839, 907 (1996); *Am. First Inv. Corp. v. Goland*, 925 F.2d 1518, 1521 (D.C. Cir. 1991); *Beanstalk Group, Inc. v. AM General Corp.*, 283 F.3d 856, 859–60 (7th Cir. 2002) (Poser, J.) ("a contract will not be interpreted literally if doing so would produce absurd results, in the sense of results that the parties, presumed to be rational persons pursuing rational ends, are very unlikely to have agreed to seek. ...'If literalness is sheer absurdity, we are to seek some other meaning whereby reason will be instilled, and absurdity avoided.'"))

to incur the cost of such pickup or delivery. The Rule does not refer to detention, demurrage or per diem and in no way should be construed (or rewritten) as if it did.

Bakerly's interpretation of the applicable contractual provisions is also belied by numerous other provisions in the Tariff Rules. Specifically, Rule 17.1 provides that Bakerly appointed Seafrigo as its agent for acquiring containers and chassis for such transportation and agreed to free time, *as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which were for the account of Bakerly except to the extent solely attributable to actions or omissions of Seafrigo*. SSoF at 5. Further, Seafrigo is entitled to full compensation if hindrances prevent the complete performance of the contract. SSoF at 6. Numerous Tariff Rules, such as 7.32, 7.36, and 7.37, also obligate Bakerly to pay yard storage, congestion fees and related charges. SSoF at 5.

Consistent with the facial meaning of the Tariff Rules, Seafrigo's bill of lading terms and conditions underscore that the *Merchant* is responsible for detention and demurrage unless such charges accrue solely due to Seafrigo's actions or omissions. The terms provide: 1) Bakerly undertakes to return containers within the time period provided for in Carrier's applicable Tariff and Bakerly shall pay Carrier for the applicable detention or demurrage charges;²⁰ 2) Bakerly appoints Seafrigo as its agent for acquiring containers and chassis for such transportation and agreed to free time, as well as detention and demurrage, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which were for the account of Bakerly except to the extent solely attributable to actions or omissions of Seafrigo;²¹ 3) Seafrigo

²⁰ Bill of Lading Clause 9.4. SSoF 6.

²¹ Tariff Rule 17.1. SSoF 5.

is entitled to full compensation if hindrances prevent the complete performance of the contract;²² 4) Seafrigo is not responsible for loss resulting from Bakerly's own actions (such as, for example, not having warehouse space to accept or unload containers);²³ 5) Seafrigo is not liable for events which it could not avoid and the consequences of which it could not prevent by the exercise of due diligence;²⁴ 6) Bakerly is liable for all charges levied on the goods;²⁵ 7) Bakerly indemnifies Seafrigo against all claims, costs and other amounts which may be incurred or imposed upon Seafrigo by reason of Bakerly's failure to comply with the terms of the bill of lading;²⁶ or 8) numerous Tariff Rules which obligate Bakerly to pay yard storage, congestion fees and related charges.²⁷

Construing Rule 17.2.1 or Rule 15.3 as Bakerly now suggests therefore would contradict numerous other provisions in Seafrigo's bill of lading terms and conditions. The bill of lading and its terms and conditions are well recognized as the contract of carriage governing the movement of goods by carriers. *See e.g., Norfolk Southern Railway Co. v. Kirby*, 543 U.S. 14, 22-23 (2004); *Texas & Pac. Ry. Co. v. Leatherwood*, 250 U.S. 478, 481 (1919). In *S. Pac. Transp. Co. v. Commercial Metals Co.*, 456 U.S. 336, 342 (1982), the Supreme Court reaffirmed that principle, holding that the bill of lading is the basic contract of carriage governing common carrier ocean transportation. *See also Norfolk S. Ry. Co. v. Groves*, 586 F.3d 1273, 1278 (11th Cir. 2009) ("the

²² Port closures due to storms, and port congestion arising from COVID and the widespread congestion plaguing the movement of goods by ocean transportation during the time at issue constitute obvious examples of such hindrances. *See* Bill of Lading Rule 5.1, SSoF 6.

²³ Bill of Lading Rule 6.5. SSoF 6.

²⁴ Bill of Lading Rule 6.5(h). SSoF 6.

²⁵ Bill of Lading Rule 18.3. SSoF 6.

²⁶ Bill of Lading Rule 18.5. SSoF 6.

²⁷ *See, e.g.,* Tariff Rules 7.32, 7.36, and 7.37. SSoF 5.

bill of lading is the basic transportation contract between the shipper-consignor and the carrier”); *Dimond Rigging Co. v. BDP Internat’l, Inc.*, 914 F.3d 435, 448 (6th Cir. 2019); *Allied Chemical Internat’l Corp. v. Companhia de Navegacao Lloyd Brasileiro*, 775 F.2d 476, 482 (2d Cir. 1985); *CSX Transp. Co. v. Novolog Bucks County*, 502 F.3d 247, 251 n. 2 (3d Cir. 2007).

Here, Seafrigo’s bill of lading terms and conditions provide at Clause 6.5 that Seafrigo “shall not be liable for any loss or damage arising from an act or omission of Merchant.” SSoF at 6. Clause 6.5(h) further dictates that Seafrigo cannot be held liable for any “cause or events” which it could not avoid, and which could not be prevented by the exercise of due diligence. *Id.* The nationwide port congestion which plagued the industry in 2020 through early 2022 is a classic example of an event beyond Seafrigo’s control. Similarly, snowstorms which resulted in closures of New York ports are classic examples of such unavoidable occurrences which Seafrigo did not cause and for which it is not responsible. SSoF at 116.²⁸ Finally, Clause 9.4 of the bill of lading terms and conditions expressly provides that Bakerly undertakes to return containers within the time period provided for in Carrier’s applicable tariff; otherwise Bakerly shall pay Seafrigo for the demurrage or detention charges applicable to the containers. SSoF at 6. Such express language is impossible to reconcile with Bakerly’s newfound and tendentious interpretation of the parties’ agreements.

²⁸ Implicitly acknowledging as much, Bakerly (*during this litigation*) recognized that it had no basis to challenge detention and demurrage charges arising from port closures due to snowstorms. *See* SSoF 116. Further, there is no rational basis for distinguishing between a NVOCC being unable to pick up a container because the port is closed during a snowstorm and being unable to pick up a container because a rail carrier or marine terminal has stacked containers in a way that leave them inaccessible. In each instance, it is beyond the NVOCC’s control.

2. Bakerly's Argument is Contrary to the Parties Individually Negotiated NRAs

Bakerly not only misreads the Tariff Rules and Bill of Lading terms and conditions, it completely *ignores* the parties negotiated rate agreements (NRAs) applicable to the shipments at issue. In those NRAs, Bakerly not only agreed that it would be liable for detention and demurrage charges, as well as port and handling charges, but also expressly agreed that it was liable for “per diem, detention and demurrage charges at cost per terminal or carrier.” SSoF at 7. Similarly, each NRA expressly provides that the “Rate Proposal does not include demurrage and detention charges for which the shipper and/or consignee may be liable and port and port terminal handling charges.” The NRAs also include a Standard Accessorial Tariff Provision which specifies that per diem, detention and demurrage charges are payable at cost per terminal or carrier. These are the very charges which Bakerly now contends are inapplicable. If Bakerly legitimately believed it did not have to pay such charges, it would not have agreed to do so as specified in each of the NRAs.

Even if the language in Tariff Rule 17.2.1 could be construed as Bakerly contends, such cannot overcome the fact that the boilerplate language therein is trumped by the specific language of the NRAs, which the parties expressly negotiated and agreed upon. SSoF at 7; *see, e.g., Royal Ins. Co. of Am. v. Orient Overseas Container Line Ltd.*, 525 F.3d 409, 420 (6th Cir. 2008) (“Well-founded principles of contract law establish that ‘specific terms and exact terms are given greater weight than general language’ and that ‘separately negotiated or added terms are given greater weight than standardized terms....’”) (*citing* Restatement (Second) of Contracts § 203 (1981)). In *Royal Ins. Co.*, the Sixth Circuit also found that a clause specific to a negotiated bill of lading between ocean carrier and shipper was of greater weight than a clause in shipper’s global terms and conditions. 525 F.3d at 420-21. This is particularly true here where the legal proposition being advanced by Bakerly is flatly contrary to numerous other provisions in the parties’ bill of lading

contracts and Tariff Rules. Bakerly's complete failure to address the NRAs in its Opening Brief, Proposed Statement of Facts, or the lengthy Appendix attached thereto is a telling omission.

3. Bakerly's Conduct Reveals its Obvious Understanding that Bakerly is Responsible for Detention and Demurrage Charges.

The parties' course of conduct is consistent with (1) Seafrigo's Rules Tariff, Bill of Lading Terms and Conditions, and the NRAs; (2) the payment-advancing practice of the maritime industry at large; and (3) Bakerly's clear understanding that it was responsible for detention and demurrage charges. As set forth above, Seafrigo's Tariff, its bill of lading terms and conditions, and the parties negotiated rate agreements allocate responsibility for detention and demurrage to Bakerly. Consistent with those terms and with the common practice of the industry at large, Seafrigo (the NVOCC) advanced funds on Bakerly's (the Merchant's) behalf, for which Bakerly then would reimburse Seafrigo. As is the case throughout the industry, this accommodation from an NVOCC to a Merchant is designed to minimize time containers sit idle, and to promote the flow of goods, minimizing the very sort of charges at issue in this matter. SSoF at 17-18. An NVOCC's advance of the funds is a service to the Merchant who might otherwise incur more charges until it makes the necessary payments. *Id.* at 17. That prepayment on behalf of the Merchant *does not*, however, shift responsibility for the advanced funds to the NVOCC. *Id.* at 113. Whether such detention and demurrage charges are paid directly by the shipper or consignee or advanced by the NVOCC, the shipper or consignee bears ultimate responsibility for payment. *Id.*

Here, the parties' course of conduct reflects a clear understanding that Seafrigo would be reimbursed for monies advanced on behalf of Bakerly including for detention and demurrage. The evidence of this is so overwhelming as to be beyond legitimate dispute. The mountain of evidence

in this regard includes: 1) Bakerly's payment of over \$900,000 in such charges;²⁹ 2) countless promises to pay outstanding invoices³⁰ (some of which it even honored); 3) over 1,000 invoices in which demurrage and detention is being sought;³¹ and 4) the fact that in the course of their seven-year relationship, Bakerly only first contended that it was not responsible for detention and demurrage charges after Seafrigo had advanced millions of dollars on its behalf.³²

The parties' course of conduct is not only consistent with the language of the parties' agreements and industry norms, but also instructive in revealing Bakerly's own understanding that it was responsible for detention and demurrage charges, dating back as far as the beginning of the parties' business relationship in 2015, and continuing even into this litigation. *See* SSoF at 2. It was always Seafrigo and Bakerly's practice that Seafrigo would advance funds to third parties, such as MTOs and VOCCs for detention and demurrage charges, and that Bakerly then would reimburse Seafrigo for those charges. *Id.* Indeed, in Bakerly's own Memorandum in Support of its Motion for Partial Summary Judgment, Bakerly admits that it paid over \$900,000 in demurrage and detention charges to Seafrigo over the course of the relevant time period. *See* Bakerly Memorandum at 4. Bakerly's payment of nearly \$1 million to Seafrigo is, to say the least, inconsistent with a belief that that money was not owed.

In its Opening Brief, Bakerly does not address that its actions reveal an understanding that it bore responsibility for the charges at issue. Instead, Bakerly inaccurately characterizes Seafrigo as having argued that the parties' course of conduct is of greater moment than the Filed Rate Doctrine. Seafrigo however, does not contend that the parties' course of conduct negates the Tariff

²⁹ Seafrigo Mem in Support of Mot. For Partial Summary Judgment at 4.

³⁰ SSoF at 156.

³¹ SSoF at 152.

³² SSoF at 189.

Rules; rather, Seafrigo maintains that the parties' course of conduct shows Bakerly and Seafrigo both shared the correct understanding of those Rules over a long course of dealing.

As Seafrigo has previously highlighted, the Commission has long held that parties' course of dealing, and indeed the course of dealing in the broader ocean transportation industry, creates a triable issue of fact *regarding interpretation of or adherence to contractual terms*. See, e.g., *Global Link Logistics, Inc. v. Hapag-Lloyd Ag*, 2014 WL 5316345, at *20 (finding that where complainant argued that respondent's rate adjustments on previous service contracts produced an "expectation" that it would adjust its rates again, "[w]hether the parties' course of dealing or that of the ocean transportation industry in general imposed a requirement on [respondent] to reduce rates established by the...Contract is a question for the trier of fact") (emphasis supplied); see also, *IAP Worldwide Servs., Inc. v. UTi United States, Inc.*, 2006 WL 305443, at *9 (E.D. Pa. 2006) (finding that in a contract between a supply chain management services provider and procurement services company with a history of similarly transacting together, "[t]he parties' course of conduct creates a jury question" related to applicability of terms and conditions). Here, Seafrigo asserts that the parties' course of conduct reveals they both correctly understood the responsibility for detention and demurrage was Bakerly's and asks the Presiding Judge to reject Bakerly's newfound and self-serving interpretation of the rules only after it has run up a \$2 million bill.

In moving for Summary Decision earlier in this matter Bakerly attempted to avoid having to explain why, if it considered itself to be absolved from responsibility for detention and demurrage charges, it did not so inform Seafrigo over the course of the parties' multi-year relationship, during which Bakerly received almost a thousand invoices from Seafrigo for such charges. SSoF at 189. Throughout the time period at issue (and indeed, in the years prior to the disputed invoices) Bakerly was fully aware that Seafrigo was going out of its own pocket to pay

steamship lines and terminals for assessed detention and demurrage charges in order to allow for Bakerly's containers to be released. SSoF at 187. Bakerly at no time instructed Seafrigo that it should not do so. SSoF at 188. Had Bakerly informed Seafrigo that it did not intend to accept responsibility for the charges Seafrigo advanced, Seafrigo would have discontinued advancing millions of dollars on Bakerly's behalf.³³ Indeed, Seafrigo was entitled to terminate its services to Bakerly at any time pursuant to both the NRAs under which the cargo moved and the applicable bills of lading. SSoF at 191. Seafrigo submits that Bakerly's ongoing receipt of such invoices without objection at a minimum reflects Bakerly's recognition that it was responsible for such charges.

In its Opening Brief, Bakerly now acknowledges that it is responsible for detention and demurrage charges triggered by its own defective warehousing system. This in itself implicitly exposes the fallacy of its argument that Seafrigo assumed responsibility for all of Bakerly's detention and demurrage charges because these were door deliveries.

Further, consistent with that recognition, Bakerly *in the course of this litigation* assumed responsibility for detention and demurrage charges assessed which were neither caused by Bakerly nor Seafrigo but were beyond Seafrigo's control. Specifically, in an e-mail sent to Seafrigo counsel on December 5, 2022, Bakerly asserted that it was not disputing Seafrigo's right to be reimbursed for the funds expended by Seafrigo as a result of port closures caused by snowstorms

³³ The record is replete with numerous examples of Bakerly agreeing to pay such charges. *See, e.g.*, SSoF at 173. In late 2021 and early 2022, Seafrigo informed Bakerly that it would stop advancing funds on behalf of Bakerly if invoices were not paid. SSoF at 158. Bakerly pleaded with Seafrigo not to stop doing so and once again reiterated its promise to reimburse such payments. SSoF 159.

in December of 2020 and January of 2021. SSoF at 116, 177. Again, Bakerly's own actions reveal the fallacy of the position it takes in its Brief.³⁴

4. Bakerly Attempts to Manufacture an Exception to the Parties' Terms from Whole Cloth.

Earlier in this proceeding, Seafrigo pointed out that the result would be nonsensical if one were to accept Bakerly's contention that it was not obligated to pay demurrage and detention charges imposed by VOCCs and marine terminal operators even in instances where such charges directly resulted from its own failure to accept goods for delivery or to unload delivered containers and to allow for their return to the terminal. As explained in Seafrigo's Opposition to Bakerly's Motion, such an interpretation would mean that Bakerly could refuse to accept delivery of any containers at its warehouses (or indeed have no warehouses at all) and allow demurrage charges to accumulate indefinitely, knowing that it would never bear any financial responsibility for its actions. Similarly, Bakerly could use containers delivered to it as permanent storage facilities with impunity, saddling Seafrigo with unlimited liability for detention charges accrued on those containers.

Implicitly conceding that its argument would produce an absurd result, Bakerly now seeks to carve out an exception for such scenarios, accepting responsibility where the fault for such charges is its own.³⁵ ("Bakerly is not liable for demurrage charges according to the Bill of Lading

³⁴ As set forth below, in its Opening Brief inexplicably Bakerly has done an abrupt about-face and, despite having conceded the issue earlier in the litigation, it now argues that Seafrigo should pay detention and demurrage charges resulting from the snowstorm. Again, no explanation is offered for Bakerly's reversal.

³⁵ Bakerly contended in its Memorandum in Support of Partial Summary Judgment that the Tariff Rules expressly barred any recovery by Seafrigo of demurrage charges because these were door moves. Bakerly Mem. at 11. In yet another about-face during the litigation, Bakerly now appears to be recognizing that it is liable for charges that are its own fault but fails to recognize that Bakerly is additionally liable for charges that were beyond Seafrigo's control.

and Rules Tariff that it did not cause”). Opening Br. at 28-30. Nowhere, however, does Bakerly even try to explain how this new wrinkle in its position can be reconciled with its previous argument that the Tariff Rules bar any recovery by Seafrigo on door moves.

Nonetheless, Bakerly’s admission of partial liability is consequential given that the vast majority of the detention and demurrage charges were incurred as a direct result of Bakerly’s own deficient warehousing system. Often, when Bakerly’s containers arrived at the port or terminal, Bakerly was not in a position to receive the containers either because it lacked space to accept them or because its warehouse operators could not coordinate receipt of the containers. SSoF at 19. Its containers therefore sat at terminals for extended periods of time during which time VOCCs and terminals assessed large amounts of demurrage charges. *Id.* at 82. Further, as evidenced below and as reflected in Seafrigo’s Supplemental Statement of Proposed Facts, large amounts of detention/per diem accrued when Bakerly warehouses allowed containers to sit unloaded at their facilities. *Id.* at 36, 38-39, 63, 65, 105, and 129. For an extended period, Bakerly was on notice of the charges that were accruing due to its dysfunctional warehousing operations but it failed to correct the problem. *Id.*

VI. BAKERLY’S OBLIGATION TO PAY FOR CHARGES ASSESSED AS A RESULT OF ITS NEGLIGENCE OR THAT OF ITS WAREHOUSERS

A. Bakerly Accepts Responsibility for only a Fraction of the Charges it Caused

Of the \$2,130,783.32 million in dispute, the majority is a direct result of deficiencies in the Bakerly warehouses. *See* SSoF at 1. Even as Bakerly now inconsistently accepts that it is at fault for some of the charges at issue, it does so for only a fraction of those for which it is in fact at fault. Bakerly asserts that during the course of discovery it concluded it was responsible for only \$198,551.87 of the amount actually resulting from its warehouses being unable to accept or unloaded containers during the relevant time (\$1.5 million.). *Id.* at 145. Though Bakerly

characterizes this figure as the product of analysis performed on its part, it offers no actual evidence of that analysis. Instead Bakerly merely totals amounts from summary tables for demurrage and per diem without any explanation of how such classifications were rendered. In other words, Bakerly baldly claims it is at fault for \$198,552 in detention and demurrage but offers no reasoned analysis of why that is so.

In failing to come forward with any justification or explanation as to how it determined that only \$198,551.87 of the charges at issue were its fault, Bakerly has failed to meet its burden of proof. Bakerly also should be precluded from seeking to offer such evidence in its Reply Brief. *See, e.g., United States v. Diaz*, 533 F.3d 574, 577 (7th Cir 2008) (arguments may not be raised for the first time in a reply brief); *Shefts v. Petrakis*, 2011 WL 5930469 (C.D. Ill. 2011) (the court does not typically permit the moving party to file a reply in order to introduce new arguments or evidence that could have been included in the motion itself); *Weber-Stephen Products LLC v. Sears Holding Corp.*, 145 F Supp.3d 793, 800 n. 5 (N.D. Ill. 2015) (a litigant is not permitted to make argument for the first time in a reply brief because it is unfair to the nonmoving party, who has no chance to respond.)

Along with that unjustified sum, Bakerly in its Opening Brief discounts the myriad deficiencies in its own warehousing system and instead wrongfully suggests that the charges at issue primarily resulted from *Seafriigo* staffing shortages. *See* Bakerly PFF 51. In both its Brief and its supposed analysis of charges, Bakerly fails to account for the fact that at one point it reported that it terminated its relationship with its primary warehouse, Lineage, PA, which was scheduled to receive multiple containers from Bakerly. It did this despite having previously acknowledged that it had a warehouse shortage which could not be remedied until late 2021 or 2022 at the earliest.

Later, Bakerly was so desperate for warehousing services that it renewed its relationship with that warehouse despite the abysmal service that led to its termination. *Id.* at 81.

Bakerly's gross underestimation of the charges attributable to Bakerly may be a result of a misunderstanding that the personnel shortages plaguing its warehouses were actually Seafrigo personnel shortages. The primary evidence Bakerly cites to in support of its contention that staffing shortages at Seafrigo caused charges to accrue actually supports Seafrigo's position that the Bakerly warehouses were grossly understaffed causing enormous amounts of detention and demurrage to accrue. *See* Bakerly PFF 51. In its Opening Brief, Bakerly refers to a January 2022 e-mail wherein it attributes to Seafrigo the following statement: "currently have 41 team members out with Covid or waiting on test results. We have another 40 that used our automated line to call out sick . . . With this [sic] mind, we will be lucky to stay on target with your current volume." That statement, however, was not made by anyone at Seafrigo, but rather by Frank Palaia, Sales Manager at Lineage, Bakerly's own warehouse. SSoF at 101. Thus, the Brief unintentionally highlights Bakerly warehouse's own staffing issues. As reflected in Seafrigo's Supplemental Proposed Findings of Fact, and as discussed below, this was only one of a multitude of examples of warehouse shortcomings over an extended period of time. Indeed, the situation became so bad that at one point, without any advance notice, Bakerly informed Seafrigo that it had terminated its relationship with Lineage PA. *Id.* at 145. "Our partnership with Lineage PA has been terminated. *Please stop delivering our containers at that facility immediately.*" *Id.* at 53. In doing so without advance notice, Bakerly left stranded numerous containers that were either sitting at the terminal (accruing demurrage) or already in Seafrigo's possession ready for delivery (and thus incurring detention). *Id.* at 54.

Rather than attempting to actually refute the invoices and documents provided by Seafrigo in support of the charges at issue, Bakerly instead resorts to innuendo by stating that the Total Transaction Spreadsheet “[s]peaks for [i]tself” and Bakerly therefore infers “poor quality recordkeeping” and a “lack [of] any credibility” on Seafrigo’s part as to its due diligence. It does this despite a wealth of contemporaneous e-mails reflecting the obvious shortcomings of the Bakerly warehouse and the extraordinary steps Seafrigo took to deliver Bakerly’s goods in such an incredibly adverse environment. Rather than address its gross shortcomings, Bakerly baldly asserts in its Opening Brief that “Seafrigo cannot...credibly claim that Bakerly was at fault.” Bakerly Br. at 39. A review of the facts illustrates the fallacy of such an assertion.

Timeline of Warehouse Deficiencies

A review of the contemporaneous correspondence reveals that Bakerly and its own warehouses caused the majority of the charges at issue. *See* SSoF at 19-26. These problems manifested as early as December 2020, when the wait time at one of Bakerly’s warehouses was so lengthy that Seafrigo wrote to Bakerly seeking to deliver 17 containers without any expectation of picking up empty containers, because Bakerly’s warehouse could no longer manage that turnaround. *Id.* at 19.

Two months later, one of Seafrigo’s truckers reported back to Seafrigo that he had waited more than *seven hours* for Bakerly’s warehouse to accept delivery of a container, and that the warehouse told him they had no idea when they would be able to finally take delivery. SSoF at 21. As a result, Seafrigo instructed the driver to return the load to Seafrigo’s yards. *Id.* This warehousing disarray naturally caused the container to accrue detention charges. SSoF at 20. Significantly, that trucker’s experience was emblematic of many other truckers confronting such

delays when trying to deliver to Bakerly's warehouses, which numerous truckers eventually refused to service. *Id.* at 22.

By March of 2021, truckers reported *overnight* waits, and Seafrigo informed Bakerly that truckers it had worked with for years would be refusing to go to Bakerly's warehouse. SSoF at 23. Faced with this mounting problem and recognizing that Bakerly was responsible for fees incurred as a result of these delays, Bakerly itself wrote to its warehouser, "We cannot lose drivers or continue paying detention + Layover fees." *Id.* at 24.

B. Aborted Drop and Pick

In light of the continuing warehousing nightmare, and the resultant loss of truckers, on April 14, 2021, Seafrigo wrote to Bakerly proposing that the mismanaged warehouse implement a drop and pick program, *i.e.*, one in which, rather than waiting for its own container to be emptied after delivery, the trucker immediately picks up a different empty container and remove it from the grounds, helping to minimize trucker delays and avoiding containers continuing to pile up due to the warehouse's slow unloading of goods. SSoF at 27. In that email, Seafrigo reiterated that truckers were dissatisfied with hours-long, and sometimes overnight, waits. *Id.* In response, Bakerly admitted its warehouse had attributed the delays to the warehouse's lack of manpower. *Id.* at 28. The following day, Seafrigo reported that it had lost 25 percent of its trucking capacity due to the delays at the Bakerly warehouses, and that one trucker had refused all future loads destined for Bakerly's warehouse. *Id.* at 30. When on May 6, 2021, Bakerly called its warehouser's attention to even more delays in the return of empty containers, the warehouser acknowledged that Seafrigo had already raised the issue. *Id.* at 35.

The proposed drop and pick system was finally implemented in May of 2021. SSoF at 34. Unfortunately, due to continued negligence on the part of Bakerly's warehouse, it proved to be a

disaster. *Id.* On May 18, 2021, Seafrigo asked Bakerly's warehouse what empty containers were ready for pickup, reminding the warehouser that it was supposed to empty the containers within and to notify Seafrigo of their availability for pickup within 24 hours of their delivery, Bakerly's warehouse failed to respond. *Id.* at 36. On May 20, 2021, Seafrigo asked again. *Id.* at 37. And again, Bakerly's warehouse failed to respond. *Id.* On May 21, 2021, Seafrigo asked what containers had *not* been unloaded. *Id.* at 38. Bakerly's warehouse failed to respond. *Id.* On May 24, 2021, Seafrigo asked whether 12 separate containers had been unloaded and were ready for pickup. *Id.* at 39. Bakerly then e-mailed its warehouse, again acknowledging that the "delays are causing us per diem charges." *Id.* at 40. Bakerly's warehouse finally admitted it had emptied just five of the twelve containers that had been its possession for just under one week. *Id.* at 41. Bakerly itself lamented in a contemporaneous e-mail to its warehouse:

Cannot list all the delays... We are talking days now... 11 containers stuck on drop trailer program still not ready to pick up... [W]hat a mess!... [W]e cannot drop the ball and impact so much of our customers during our peak season." *Id.* at 51.

After May 25, 2021, Bakerly's warehouse resumed its silence, prompting Seafrigo to inquire regarding container status again on May 26, at which time it informed Seafrigo that not all containers had been emptied. *Id.* at 42.

Later it was acknowledged that the Bakerly's warehouse's implementation of the drop and pick program had been "a total failure to say the least." SSoF at 62. In addition to leading to additional containers not being unloaded and thus further backlogging the Bakerly warehouses, truckers were forced to drive to other facilities to pick up empty containers, thus further taxing Seafrigo's driver resource pool which was already strained due to the nationwide trucker shortage. SSoF at 63.

In a meeting between Seafrigo and Bakerly in May of 2021, the parties discussed Bakerly's lack of warehouse space. SSoF at 44. In a follow-up email dated May 27, 2021, Bakerly wrote

affirming that while it hoped to increase its space in later 2021 or early 2022, it currently had no additional space. *Id.* at 45.

C. Abrupt Termination of Major Bakerly Warehouser and Limitation on Delivery of Containers

The cycle of silence, unanswered inquiries, extended delays, and shoddy performance continued long into June 2021 when it finally reached a head. On June 9, 2021, Bakerly, without warning, told Seafrigo to stop delivering to Bakerly's Lineage warehouse because it had terminated its relationship with it. SSoF at 53. Given that Lineage was a major warehouser for Bakerly, and that Bakerly itself had acknowledged that it lacked warehouse space, this caused great disruption in the Bakerly supply chain. *Id.* at 54. Seafrigo was prepared to deliver a large number of containers to the facility at the time of this abrupt notice but was unable to do so, resulting in additional significant detention and demurrage charges accruing. *Id.*

A month after that abrupt e-mail, on July 12, 2021, Bakerly again e-mailed Seafrigo without warning stating, "*we regret to inform you that we must limit your inbounds due to complications and internal decisions.*" SSoF at 73. Recognizing as ever that Bakerly would incur additional charges, the Bakerly e-mail continued, "*We are aware of the additional costs of demurrage, storage, or detention that this decision implies but we do not have a choice.*" *Id.* In that same e-mail, Bakerly announced it was unilaterally limiting the number of containers it could receive to two per day.³⁶ *Id.* As a result, the number of Bakerly containers at the ports and terminals accumulating demurrage accelerated greatly. The problem was worsened because Bakerly had no plan to address it. *Id.* at 75.

³⁶ This limitation hamstrung Seafrigo's delivery of Bakerly's goods, which ordinarily totaled more than 25 containers per week. *See* SSoF at 79.

Bakerly's e-mail announcing termination of the warehouse which communication it later conceded "was too fast," allowed no time for truckers to adjust and resulted in at least one trucker being turned away from the warehouse, and the related full container being returned to Seafrigo's yard. SSoF at 60. Despite Bakerly assuring Seafrigo in a Wednesday e-mail that it would have a redistribution plan in place "[b]y the end of the week" such plan did not materialize. *Id.* at 53. In one fell swoop, Bakerly caused a pile-up at Seafrigo's own yard, such that Seafrigo notified Bakerly by e-mail on June 14, 2021 that because, as an accommodation, Seafrigo had accepted a large number of containers originally scheduled for delivery to Bakerly warehouses, Seafrigo no longer had enough "yard plugs" (electrical outlets for generators that power refrigerated containers such as those here), to continue to do so. *Id.* at 61. By June 22, 2021, Seafrigo informed Bakerly that it had surpassed the number of pallets it was allowed at Seafrigo's facility by nearly a third, and that Seafrigo could not pick up anything additional that Bakerly had abruptly rerouted to Seafrigo's facility. *Id.* at 65.

It was not until July 7, 2021, more than a month after Bakerly's abrupt termination of its relationship with its existing warehouser, that Bakerly again abruptly informed Seafrigo it had a new warehousing partner in Honor Foods. SSoF at 69. Again, with no warning, Bakerly sought to have goods immediately routed to a new facility and delivered the following day. SSoF at 71. Seafrigo explained that such transitions could not be completed within twenty-four hours, especially when truckers were often booked two to three weeks ahead. *Id.* Nonetheless, Seafrigo endeavored to deliver by the following week. *Id.* at 72.

In January of 2022, after Bakerly inexplicably rehired Lineage despite Lineage's myriad shortcomings, it was Lineage that admitted that it could not handle the volume of Bakerly containers and that 81 of its employees were not at work. SSoF at 81.

VII. CHARGES CAUSED BY REASONS INDEPENDENT OF EITHER PARTY

A. Snowstorms, Port Congestion, Customs Holds, Chassis and Genset Shortages and Nationwide Shortages of Truckers

In addition to the approximately \$1.5 million in detention and demurrage charges assessed by third parties which were Bakerly's fault, \$1,282,600.90 of the charges assessed were caused by neither Bakerly nor Seafrigo but instead by events wholly beyond their control. Included in this category are weather-related port or terminal shutdowns, port congestion, Customs and other government holds, instances where terminals lacked chassis or gensets for containers holding frozen goods and charges resulting from trucker shortages that plagued the nation from 2020 through 2022. *See* SSoF at 116, 122, 119, 127, 130.

As set forth above, the Seafrigo Tariff Rules and bill of lading terms and conditions explicitly provide that charges which cannot be avoided by the exercise of due diligence on the part of Seafrigo are not its responsibility. *See, e.g.*, Tariff Rules 15.3, 17.1, and bill of lading terms and conditions 6.5(h). *Id.* at 5-6. The Tariff Rules and bill of lading terms and conditions also recognize that the charges levied run to Bakerly and not to Seafrigo. *Id.*

While ignoring this incontrovertible language, Bakerly argues in its Opening Brief that Seafrigo should have advocated on Bakerly's behalf to have those charges waived or reduced. In fact, as a courtesy, Seafrigo did seek to have detention and demurrage charges waived by SSLs. SSoF at 164-77. The contemporaneous documentation and the sworn statements of Al Raffa, Seafrigo's Managing Director USA and Jerome Lorrain, the Chief Executive Officer of Seafrigo USA reflect that Seafrigo sought to have its primary carriers waive certain detention and demurrage charges. *Id.* Unfortunately, given the leverage the carriers had in an extremely tight market, the carriers flatly refused to waive such charges. *Id.* at 166.

Moreover, Seafrigo was under no obligation to negotiate with VOCCs and MTOs to have them reduce charges, let alone to bring legal action against them on behalf of Bakerly. SSoF at 170. Such an obligation is conspicuously absent from the Seafrigo Rules Tariff, bill of lading terms and conditions, and the negotiated rate agreements. *See* Exhs. 1, 2 and 4. Further, Seafrigo is unaware of any Commission precedent imposing the extraordinary obligation of requiring a NVOCC to sue a VOCC or MTO on behalf of a shipper. Finally, Bakerly's unstated assumption is that if Seafrigo had sued VOCCs or MTOs to challenge such charges, Seafrigo would have prevailed. This assumption is far from certain. For example, in adopting the Interpretive Rule, the Commission observed that:

[I]n assessing the reasonableness of demurrage and detention practices in the context of government inspections, the Commission may consider the extent to which demurrage and detention are serving their intended purposes and may also consider any extenuating circumstances. If circumstances demonstrate the need for more specific guidance in this regard, especially as to specific ports or terminals or specific types of inspections, the Commission can refine these principles via adjudication or further rulemaking.

In light of the above, Bakerly's refusal to reimburse Seafrigo for money it advanced on Bakerly's behalf in instances where Seafrigo did not cause the charges is wholly unjustified.

1. Terminal Closure Due to Storm or Nearby Fire

As set forth above, in an e-mail sent to Seafrigo counsel on December 5, 2022, *during the course of this litigation*, Bakerly agreed that it would not dispute Seafrigo's right to be reimbursed for charges resulting from terminal closures caused by snowstorms in December of 2020 and January of 2021. SSoF at 116.

This e-mail was sent nearly five months after the filing of Bakerly's Complaint. Nonetheless, Bakerly now newly asserts in its Opening Brief that *Seafrigo* is responsible for those charges. No reason is offered for Bakerly's reversal of its prior position, in which the original position was wholly consistent with Seafrigo's Tariff Rules and bill of lading terms and conditions.

The amount owed due to terminal closures (\$361,178.54), *id.* at 117, port congestion (\$472,672.71), *id.* at 123, lack of terminal chassis and gensets (\$1,901.40), *id.* at 128, and a nationwide shortage of truckers (\$177,574.50).

2. Port Congestion

As the Commission is well aware, huge volumes of goods being shipped, erratic shipping line deliveries, and a resultant inability of carriers and terminals to handle such volumes, compounded by the COVID pandemic, led to the imposition of record amounts of detention and demurrage charges from 2020 through 2022. SSoF at 121. At the terminal or port level, this frequently resulted in containers being stacked in a disorganized, haphazard fashion which prevented their pickup. *Id.* As a result, through no fault of Seafrigo, such containers sat at terminals accumulating demurrage charges. *Id.* The amount of the charges Seafrigo paid to MTOs and VOCCS as a result of port congestion was \$472,672.71. *Id.* at 123.

3. Government Holds.

The goods being imported by Bakerly were frozen food goods. Customs and Border Patrol reserves the right to inspect goods and hold containers for a variety of reasons. *Id.* at 106. The Food and Drug Administration also inspects food products to ensure they are not adulterated. *Id.* at 107. The charges associated with such delays are not caused by Seafrigo and not its responsibility. *Id.* at 5-6. Seafrigo paid MTOs and VOCCs \$68,745.59 as a result of such government holds. *Id.* at 120.

4. Chassis or Genset Shortages

When truckers arrive at a terminal, the terminal assigns a chassis for the container on which the container should be loaded. SSoF at 125. If the goods being transported are frozen goods, the terminal also assigns a genset to keep such goods frozen. *Id.* During the transportation crisis that

plagued the nation in 2020 through 2022, terminals frequently were short of chassis or gensets. As a result, containers would not be made available for delivery. *Id.* For containers for which gensets were not available, Seafrigo drivers offered to pick up containers provided that the Bakerly warehouse would provide a plug for keeping the container frozen. *Id.* at 126. In some instances, the warehouses were willing to do so. *Id.* In other instances, the Bakerly warehouses were not. *Id.* The amount of the charges Seafrigo paid to MTOs and VOCCs as a result of chassis and genset shortages was \$1,091.40. *Id.* at 128.

5. Trucker Shortages

A shortage of truckers plagued the nation from 2020 through 2022. SSoF at 129. This was an unavoidable and unforeseen event beyond Seafrigo's control. *Id.* In some instances, this prevented containers from being timely picked up or returned to ports or terminals. *Id.* Mismanagement at Bakerly warehouses exacerbated this problem with truckers refusing to deliver to the warehouse because they often were forced to spend lengthy days and nights waiting for containers to be unloaded. *Id.* The amount of the charges Seafrigo paid to MTOs and VOCCs as result of a nationwide shortage of truckers was \$177,574.50. *Id.* at 131.

VIII. SEAFRIGO INVOICING

A. Pass-Through Charges and Misapplication of OSRA 2022

Bakerly devotes much of its Opening Brief to arguing that Seafrigo failed to provide adequate backup documentation to support its invoices.³⁷ The facts, however, reveal that invoices

³⁷ At its core, Bakerly's argument rests on conflicting contentions: (1) that Bakerly has interpreted the rules to mean it cannot be responsible for detention and demurrage charges accrued as part of door deliveries; and (2) that Bakerly needs more information to know if it should pay specific detention and demurrage charges accrued on specific door deliveries. (The latest iteration of Bakerly's argument, wherein it assumes responsibility for a fraction of the charges it caused, does not resolve that inherent contradiction.)

and backup documentation were timely provided to Bakerly. SSoF at 183. Thus, this justification for its failure to pay is largely a ruse to avoid its contractual payment obligations (which it now argues never even existed.)³⁸

B. Invoices received and Allocation of Reasons for Detention and Demurrage Charges

Seafrigo carefully analyzed all information in its possession to determine the reasons for the detention and demurrage charges in dispute. In some instances, those reasons might overlap. SSoF at 195. For example, port congestion and equipment shortages might together contribute to the charges accruing. *Id.* Seafrigo made a good faith effort in those instances to identify the primary cause.³⁹

The easiest category of charges to allocate were those resulting from Bakerly warehouse deficiencies because, as reflected herein, those charges were reflected in day-to-day communications via e-mail and daily reports between Seafrigo and Bakerly operations (including its warehouses). SSoF at 141. Bakerly clearly saw the appointment times that were being given to Seafrigo drivers that were outside the free time for the terminals, thus triggering demurrage. *Id.*

³⁸ Though much of Bakerly's argument rests on its false claim that Seafrigo did not provide enough documentation to support invoices, Bakerly now additionally claims that Seafrigo has provided *too many* documents and has not linked supporting documentation to its tables as Bakerly would desire. In fact, Seafrigo provided folders reflecting the shipping documents and communications related to specific invoices. Bakerly nonetheless contends therefore that it cannot be required to review such documents: "[I]t is impossible to expect that Bakerly should do the work of searching through all the documents to possibly link them to the transactions in the excel file." Bakerly PFF 84. Seafrigo does in fact suggest that Bakerly review Seafrigo's provided evidence, which failure to review may explain in part its failure to accept responsibility for the vast majority of the fees it owes.

³⁹ While Bakerly ridicules Seafrigo for placing charges regarding its warehouse dysfunction multiple categories, Opening Brief at -, this merely reflects that there were often multiple reasons for the demurrage and detention charges at issue. SSoF at 195.

Similarly, Bakerly was aware that its warehouses were not notifying Seafrigo that containers had been unloaded and available for pickup and return to the terminals, thus triggering detention/per diem charges. SSoF at 36-40.

The remaining allocations were also based on communications during the relevant time period. Thus, for example, if a container was not available for pickup at the terminal because the terminal failed to provide notice of its availability for pickup, it would be treated as port congestion. SSoF at 121. Similarly, if there were communications regarding a lack of chassis or gensets, they would be so allocated.⁴⁰

The notion that Bakerly did not receive the Seafrigo invoices or was not aware that they were accumulating is baseless. In addition to the invoices themselves, Seafrigo's accounting department was also sending weekly balance due statements to the Bakerly accounting team. *Id.* at 135. Thus, Bakerly had ample opportunity to inquire about any supposedly not received invoices. *Id.*

⁴⁰ Bakerly scolds Seafrigo for initially labeling a significant amount of the detention and demurrage charges as not attributable but after additional analysis allocating many of such charges to the Port Congestion category. After further analysis, Seafrigo now has placed all of these remaining charges in the Port Congestion category. SSoF at 195-99. While that category requires more analysis than the Bakerly column, which is easy to attribute a given the extensive e-mail correspondence between the parties and Bakerly's express acknowledgment of its warehouses' many shortcomings, a review of the facts confirms that the charges are in no way attributable to Seafrigo and instead are the result of the nationwide congestion plaguing the industry in late 2020 through early 2022. *Id.* The validity of Seafrigo's position is reinforced by the fact that throughout 2019 and until December of 2020, Seafrigo only invoiced Bakerly a total of \$33,106.98 in detention and demurrage charges (all of which Bakerly paid). Raffa Dec. at 126. It was only after the rampant issues plaguing the transportation system thereafter that the detention and demurrage charges escalated so greatly. Thus, it is appropriate to attribute the charges to Port Congestion

C. Bakerly's Analysis of Invoices and Related Documentation

It is noteworthy that having had the opportunity to once again review all of the Seafrigo invoices and backup information provided, and after having performed what it deemed a careful analysis of such information, Bakerly identified a handful of invoices which it claims are incorrect and do not accurately reflect what the VOCCs or MTOs should have charged under their tariff.⁴¹ Bakerly, however, ignores certain charges the MTOs were permitted to assess. Moreover, even if their assertions had a factual basis, a handful of errors in invoices totaling less than \$15,000 do not justify a refusal to pay almost \$2 million in charges owed. *See* SSoF at 148; Raffa Dec. at 139.

Bakerly at one point identified 317 invoices which it believed were duplicative. *Id.* at 148. Seafrigo carefully re-reviewed those files and identified one error for less than \$4,000. *Id.*

In its Opening Brief and Proposed Findings of Fact, Bakerly pointed to a handful of errors that Seafrigo had allegedly made in its invoices. In fact, most of the invoices were accurate.

As part of its attempt to avoid responsibility for the charges at issue, Bakerly inexplicably accuses Seafrigo of violating OSRA 2022: “Seafrigo lacked the systemic controls to properly track and ship containers and invoice Bakerly for demurrage and detention in compliance with the Ocean Shipping Reform Act of 2022.”⁴² Bakerly does so despite the fact that it is undoubtedly aware that OSRA 2022 was not enacted until June 16, 2022, well after the shipments at issue. Ignoring that

⁴¹ The notion that Bakery should be excused from paying millions of dollars because some invoices purportedly did not include enough details is without justification. Further, Bakerly's Opening Brief evidences that it painstakingly reviewed all of the invoices and backup information, and then carefully examined the MTOs and VOCCSs tariffs to try and identify errors. Having done so, Bakerly has only been able to identify a trivial amount of purported errors out of millions of dollars in dispute. *See* SSoF at 148; Raffa Dec. at 139. Further, Bakerly itself concedes that the information sought was publicly available from the terminals' website and in the carriers' tariffs. *See* Raffa Dec. at 198-99.

⁴² *See e.g.*, Opening Brief at page 7.

indisputable fact, Bakerly asserts that certain details regarding detention and demurrage charges were not provided on invoices Seafrigo passed through to Bakerly. *See id.* at 186.

The Invoices at issue detailed the amounts owed and specified the basis for the charges. All of the invoices and proof of payment are included in Seafrigo's Appendix accompanying this Brief. *See* SoFF at 152. The Seafrigo invoice reflects, *inter alia*, the identity of the consignee (Bakerly LLC), a description of the goods being transported, the vessel on which the cargo moved, and the destination of the goods. SoFF at 8, 152. It further reflects the balance due and the fact that there are two separate charges for demurrage. *Id.* Attached to the invoice are Seafrigo's Terms and Conditions of Service which state that the Customer will indemnify Seafrigo for freight dues or other money due arising from the shipment of goods. SSoF at 8. Paragraph 12 of the Terms and Conditions of Service state that Seafrigo is not obligated to advance funds on behalf of the Customer. *Id.*

Along with the Seafrigo invoice, Seafrigo provided the PayCargo receipts which reflects that the charges assessed are for demurrage which is being paid to Maher Terminal by Seafrigo. Exhibits 63A-B. The invoice reflects the expected container pickup date of January 19, 2022, and the amount that needs to be paid to obtain the containers release on that date. Exhibits 63A-B. Here, because there was a one-day delay in picking up the container, an additional charge of \$760.00 in demurrage was assessed. *Id.* These are not "duplicative charges."

Finally, a screenshot showing the payment made on the invoices is attached. *Id.* If Seafrigo had not made the payment, Maher Terminal would not have released the container and demurrage would have continued to accrue.

Simply reviewing the ETA and the pickup date one can determine the approximate number of days the container sat at the terminal undelivered and the basis for the demurrage charges

assessed. Moreover, terminal websites such as Maher's contain public information including the last free day (LFD) for every container on the terminal. Raffa Dec. at 198-99. Thus, one is always able to confirm the container discharge date for a container and determine the basis for the charges assessed. *Id.* In light of this, Bakerly's argument that it did not have enough information to pay the invoices is not credible.

Moreover, to the extent that any details regarding detention and demurrage charges were not provided (which were not required in any event), it was because that information was not provided by third parties. *See* SSoF at 181-82. For example, Maher Terminal, which assessed the vast amount of detention and demurrage charges at issue, does not issue invoices reflecting the basis for amounts charged but instead requires credit card payment of all amounts due in order for the containers to be released. *See id.* Such is the common practice of MTOs. *Id.* A much smaller percentage of the detention and demurrage charges in dispute were issued by OOCL, one of the VOCCs transporting Bakerly goods. Again, these charges were paid by Seafrigo to OOCL. Thus, the invoices issued to Bakerly by Seafrigo reflect the amounts paid by Seafrigo to the terminals or VOCC, who were themselves not required to provide Seafrigo with greater information at the time nor was Seafrigo required to somehow create and then pass on information that was not in its possession. *See id.* at 186.

Here, the charges assessed largely were straight pass-throughs of amounts that Seafrigo paid to third parties. *Id.* at 178. The only additional charges imposed by Seafrigo were finance charges in late 2021 when Seafrigo's finances were being crippled by Bakerly's failure to reimburse it for millions of dollars Seafrigo had advanced on Bakerly's behalf. *Id.* at 179.

While lacking any legitimate basis, Bakerly's attempted reliance upon OSRA 2022 to support its claim is instructive. *First*, Bakerly tries to shift the burden of proof onto Seafrigo to

establish that Bakerly did not comply with the Shipping Act and to establish the invoiced amounts are accurate. For this pre-OSRA 2022 period, however, that burden is Bakerly's. *Second*, Bakerly imputes to Seafrigo an obligation to provide more information on the invoices Seafrigo passed through from carriers and MTOs. Here, however, such obligation did not exist pre- *or post*-OSRA 2022. OSRA 2022's safe harbor provisions confirm that NVOCCs such as Seafrigo are not liable for detention and demurrage assessed by third parties for which the NVOCC is not responsible. 46 U.S.C. § 41104(e). Applying that principle compels rejection of Bakerly's attempt to require Seafrigo to pay charges imposed on Bakerly goods.⁴³

IX. BAKERLY HAS FAILED TO ACT IN GOOD FAITH

Bakerly's actions in knowingly allowing Seafrigo to advance millions of dollars on its behalf and then reneging on its obligations to reimburse Seafrigo, have had serious financial implications for Seafrigo. If, as Bakerly now contends, it had no obligation to reimburse Seafrigo for the millions of dollars Seafrigo was advancing on its behalf, Seafrigo would not have continued to do so. SSoF at 175. Bakerly's treachery is revealed by its unwillingness even to pay freight charges not legitimately in dispute until after this action was well underway and Seafrigo was

⁴³ Bakerly suggests that the evidence presented by Seafrigo should be ignored because it was produced untimely. This is an unfortunate example of Bakerly playing fast and loose with the facts. The parties discussed and agreed to extending time for document production until April 14th, 2023 given the volume of shipments being addressed. Collins Declaration at 3. On March 28, 2023, Bakerly stated that while it would be able to meet the existing discovery deadline of April 3, 2023, it reaffirmed the extra time given for Seafrigo to produce documents. *Id.* at 4. (It did, however, request that Seafrigo produce its documents as soon as possible given the briefing deadline (which subsequently was extended by 5 days for Bakerly)). The vast majority of documents in response to Bakerly's Second Set of Document Requests were produced on April 4, 2023. A new spreadsheet reflecting charges related to the smaller invoices of less than \$2,500 were later produced, along with a small number of additional documents found while pulling together information related to the smaller invoices.

forced to threaten a separate legal action, which prompted Bakerly finally to pay over \$600,000 in freight charges it owed. *See, infra*, note 4.

Bakerly's lack of good faith is further evidenced by the timing of its actions. As reflected in the timeline below, Bakerly not only was regularly receiving invoices reflecting amounts due, it was in constant communications in that regard with Seafrigo wherein Seafrigo repeatedly reaffirmed the need for payment. Each of those communications afforded Bakerly an opportunity to inform Seafrigo that it should not be advancing funds on Bakerly's behalf because Bakerly did not intend to reimburse Seafrigo. Each of those communications, and the regularly received invoices, also afforded Bakerly the opportunity to arrange for the door moves at issue if it really believed that the pass-through charges being assessed were unfounded. If Bakerly actually believed that Seafrigo's services were somehow inadequate, Bakerly would have assumed that role rather than having Seafrigo continue to do it. Instead, recognizing that if it chose to pick up the containers itself it would have to pay the terminal or port for the release of the containers, it instead duped Seafrigo into doing so and then millions of dollars later brought this Complaint asserting that it had no obligation to repay Seafrigo.⁴⁴ The Commission should refuse Bakerly's invitation to place the FMC's imprimatur on such behavior.

A. Bakerly Always Recognized Detention and Demurrage Fees were its Responsibility, and Assured Seafrigo the Same

During the December 2020 through early 2022 period when Bakerly caused container pileups, overnight delays, and abruptly rerouted goods to new facilities without advance notice, Bakerly repeatedly affirmed that (1) it understood that detention and demurrage charges were

⁴⁴ The evidence further reflects that the DWELL time for Bakerly containers (the amount of time a container remains dormant at a terminal or port) was below the national average. SPPF. For Seafrigo to accomplish this and to not miss a single delivery despite the obstacles presented by the Bakerly warehouses is extraordinary.

accruing (“We cannot lose drivers or continue paying detention + Layover fees”); (2) it understood that Seafrigo was advancing funds on its behalf (“We are aware of the additional costs of demurrage, storage, or detention that this decision implies but we do not have a choice”); and (3) it understood it was responsible to pay Seafrigo for the accrued charges (“delays are causing us per diem charges” (emphasis added)). For its part, Seafrigo (1) made repeated efforts to communicate with Bakerly regarding Bakerly’s defective warehousing and the resultant accruing charges, which attempts at communication often were ignored; (2) sent Bakerly numerous invoices passed through from carriers and marine terminal operators and responded promptly where Bakerly had questions related thereto; and, (3) continued to advance funds on Bakerly’s behalf for more than a year following Bakerly’s initial warehouse problems, based on repeated assurances that Bakerly recognized it was responsible for paying such charges. Thus, throughout the relevant period Bakerly assured Seafrigo that it would pay what it owed.

Following Bakerly’s December 2020 warehousing failures and the December snowstorm, on January 15, 2021, Seafrigo called to Bakerly’s attention the substantial sums Seafrigo had already paid out of pocket on Bakerly’s behalf and noted that Seafrigo was negotiating with the carriers to try to obtain some relief. At that time, Seafrigo sent to Bakerly by FedEx invoices with supplemental backup and receipts substantiating the tremendous fund advancements it was making on Bakerly’s behalf despite the parties having no credit arrangement. SSoF at 149. In clear recognition of its responsibility for such charges, Bakerly told Seafrigo that it was in the process of determining whether it could use its PayCargo account to pay certain demurrage charges rather than Seafrigo using its PayCargo account to do so. *Id.* at 171. The following month, on February 28, 2021, Bakerly posed questions regarding the detention and demurrage invoices it had received,

to which Seafrigo promptly responded on March 2, sending additional backup for the invoices Bakerly had highlighted. *Bakerly thanked Seafrigo for the customized report. Id.* at 150-51.

From that February communication until Bakerly unilaterally terminated its warehouse relationship in July, Seafrigo advanced significantly greater amounts in detention and demurrage fees on Bakerly's behalf. SSoF at 152. When Bakerly on July 12, 2021, informed Seafrigo of the termination of its relationship with one of its major warehouseurs, Seafrigo replied asking Bakerly to discuss the matter, and emphasized to Bakerly that such decision was going to cause financing problems for Seafrigo given that it had no credit terms with Bakerly and its advancement of funds on Bakerly's behalf would be out of pocket. *Id.* at 73. Relatedly, with Bakerly accepting just two containers a day, Seafrigo recognized that it needed to consider limiting the volume of bookings with Bakerly until Bakerly rectified its warehousing deficiencies or at least more clearly articulated a solution thereto. *Id.* at 74. For its part, Bakerly ignored multiple e-mail communications and phone calls from Seafrigo, which Seafrigo understandably lamented in an internal e-mail on July 21, 2021: "Bakerly management is MIA nobody returning my phone calls. We cannot continue this way!" *Id.* at 78. Just as Seafrigo had articulated to Bakerly earlier in the month, the July 21 e-mail stressed that Bakerly's continued failure to pay the outstanding invoices it had received was crippling Seafrigo's credit line.

On August 19, 2021, as a gesture of goodwill and to encourage Bakerly to pay the money both parties recognized it owed, Seafrigo issued a credit to Bakerly for \$30,000 of the detention and demurrage. SSoF at 155. Such credit arrived in response to Bakerly's belated payment of a *small* fraction of the detention and demurrage charges it owed. Following that credit, Bakerly Vice President Charles Lefort said he would tell his team to approve the other pending detention and demurrage invoices and clear out a backlog of money owed that was already enormous. *Id.* at 156.

In the ensuing months, and ever since, Bakerly failed to pay that backlog of invoices. It now contends it has no obligation (and never had an obligation) to do so. On October 5, 2021, Bakerly again recognized Seafrigo was advancing detention and demurrage charges on its behalf by instructing Seafrigo to pay demurrage on another shipment. *Id.* at 173.

On December 23, 2021, after more than a year of dealing with the consequences of Bakerly's erratic container acceptance and sporadic communication, Seafrigo informed Bakerly that it could no longer advance demurrage and detention payments on Bakerly's behalf. SSoF at 153. As it had done previously, Seafrigo again explained that Bakerly could pay such charges directly via PayCargo, but Bakerly replied that it intended for Seafrigo to continue advancing the funds. *Id.* at 158-59. Following a phone call between Jerome and Lefort, Bakerly maintained there would be no change in the arrangement whereby Seafrigo advanced funds on Bakerly's behalf.

It is invoices Bakerly received during this one-year period of Bakerly's hollow assurances that it now complains are "duplicative" ("Seafrigo...sent duplicative invoices to Bakerly for partial amounts of the total demurrage at times, without having picked up the container or without providing the underlying demurrage invoice..."). The vast majority of such invoices stemmed from delays caused by Bakerly's warehouse and Bakerly's unilateral rerouting decisions and, as has been explained to Bakerly repeatedly, the charges are not "duplicative." SSoF at 146. In fact, as stated in Bakerly's Opening Brief, the invoices are for "partial amounts of the total demurrage." SSoF at 147. Thus, additional demurrage or detention charges that accrued were invoiced after an initial invoice had been issued. *Id.* For example, as shown here, a terminal might issue a demurrage invoice with the expectation that a Bakerly warehouse would schedule an appointment for delivery of the container by a specific date, and, if Bakerly's warehouse failed to schedule the delivery as expected, additional demurrage would accrue. *Id.* Seafrigo then would pay that amount to obtain

the release of the container and would have to issue an updated invoice to Bakerly reflecting the additional charge.

X. SUMMARY

For the reasons set forth herein, and as set forth in Seafrigo's Supplemental Finding of Fact, the Presiding Judge should reject Bakerly's claims, find that Bakerly has failed to establish any Shipping Act violation by Seafrigo, and hold that Bakerly is responsible for payment of \$2,130,783.32 demurrage and detention charges that Seafrigo paid on its behalf.

Respectfully submitted,



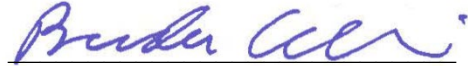
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Attorney for Respondent, Seafrigo USA Inc.

May 31, 2023

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 31st day of May, 2023.

A handwritten signature in blue ink, appearing to read "Brendan Collins", is written over a horizontal line.

Brendan Collins